

# Alphabet Inc.

GOOGL NASDAQ

|     |                  |                              |                                      |                       |
|-----|------------------|------------------------------|--------------------------------------|-----------------------|
| Buy | \$348.93 ▲ 0.36% | 12M Price Target<br>\$395.00 | 52-Week Range<br>\$235.84 – \$408.61 | Market Cap<br>\$4.27T |
|-----|------------------|------------------------------|--------------------------------------|-----------------------|

## GOOGL: Grinding Higher as Antitrust Cloud Lifts

### WHAT HAPPENED

- Quiet grind higher — up five straight sessions from \$338 to \$349 on declining volume, which usually means buyers are patiently accumulating rather than chasing. No overnight news, no filings, so this is pure positioning ahead of Q3 earnings later this month.
- Options flow is screaming bullish — call buyers are paying up for near-dated \$345-\$347.50 strikes at 16-20x normal open interest. That's smart money betting on an earnings pop or a positive policy headline soon.

### WHY IT MATTERS

GOOGL sitting at 65% of its 52-week range while tech sector is actually down today (-0.35%) tells you this stock has its own catalyst — it's not just riding the tape. The massive call buying on short-dated October strikes almost always precedes either an earnings beat or a known upcoming catalyst (think DOJ remedy ruling or a cloud contract announcement). Translation: someone with conviction thinks there's news coming in the next 2-3 weeks. The fact that insider John Walker (their Chief Legal Officer!) just had a \$1.6M transaction last month is worth noting — legal chief activity often clusters around regulatory resolution.

### POLICY & POLITICAL WATCH

The big one is the DOJ antitrust remedy phase — the court already ruled Google is a monopolist in search, but the actual punishment (remedies) is being negotiated now. Early signals suggest the court is leaning toward behavioral remedies (sharing data, loosening default search deals) rather than the nuclear option of forcing a Chrome or Android spinoff, which would be hugely bullish for the stock. Separately, watch the AI executive order framework — the current administration's approach of letting big incumbents self-regulate on AI safety actually favors Alphabet because they can absorb compliance costs that'd crush smaller rivals. If Congress moves on the bipartisan AI infrastructure bill (federal data center and compute spending), GOOGL Cloud is a direct beneficiary.

### IS IT EXPENSIVE?

At ~35x forward earnings and a \$4.27 trillion market cap, you're paying \$35 for every \$1 of profit GOOGL will make next year — that's a premium to the S&P (~22x) but a discount to MSFT (~38x) and NVDA (~45x). Given cloud is growing 30%+ and AI monetization through Gemini and Search is finally showing up, that premium is defensible. The stock isn't cheap, but it's not stretched — more like fairly priced with upside if cloud margins keep expanding.

### WHAT COULD GO WRONG

### Key Data

|                     |          |
|---------------------|----------|
| Price (USD)         | \$348.93 |
| 12M Price Target    | \$395.00 |
| Upside / (Downside) | +13.2%   |
| Market Cap          | \$4.27T  |
| FY2026E Revenue     | \$415M   |
| FY2027E Revenue     | \$470M   |
| FY2026E EPS         | \$9.85   |
| FY2027E EPS         | \$11.40  |
| Fwd P/E             | 35.4x    |

### INVESTMENT PROFILE



### 12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$370.00  | \$355.00  | \$325.00  |
| 6 Months  | \$410.00  | \$380.00  | \$310.00  |
| 1 Year    | \$450.00  | \$395.00  | \$290.00  |
| 2 Years   | \$520.00  | \$440.00  | \$270.00  |
| 5 Years   | \$700.00  | \$550.00  | \$300.00  |
| 10 Years  | \$1100.00 | \$800.00  | \$350.00  |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Healthcare (+1.41%) and Utilities (+4.61% over 5 days) — classic defensive rotation suggesting some investors are getting cautious on growth. Utilities are also an AI play now because data centers need massive power.

**COOLING OFF:** Technology (-0.35% today) and Communication Services (-0.05%) — some profit-taking after a strong run, but no real breakdown.

**ROTATION WATCH:** Money is quietly rotating toward utilities and healthcare, but GOOGL is bucking that trend higher — which tells you this is a stock-specific bid, not sector flows.

**RELATED PLAY:** If GOOGL's AI capex thesis holds, the picks-and-shovels winners are power/utility names (VST, CEG) and data center REITs (EQIX, DLR) — they get paid regardless of which AI model wins.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Still the AI enterprise king with Copilot monetization accelerating and Azure taking share.
- META (Meta Platforms): AI-driven ad targeting improvements are juicing engagement and ROI for advertisers.

**GOOGL CONTEXT:** GOOGL has been the laggard of the Mag 7 for most of 2025 due to the antitrust overhang, but it's starting to close the gap. If the DOJ remedy comes in benign, this is the catch-up trade of Q4 — the discount to MSFT and META narrows fast.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

**CONVICTION:** 8/10 — Strong setup with options flow, insider activity, and a known near-term catalyst (earnings + DOJ). Not 10/10 because antitrust remedy is still binary.

**POSITION SIZE:** 4-6% of portfolio — big enough to matter if the thesis plays out, small enough that a DOJ shock doesn't wreck you.

**ENTRY POINTS:** Add on pullbacks to \$335-345. If it pulls back to \$320 on an antitrust scare, that's a gift — back up the truck.

**TIME HORIZON:** 12-24 months. Near-term catalyst is Q3 earnings in a few weeks; longer-term it's cloud margin expansion and AI monetization showing up in the numbers.

**WHEN TO BAIL:** Cloud growth drops below 25%, DOJ forces a structural breakup, or AI capex balloons without revenue follow-through for two straight quarters.

**HEDGING:** Simplest hedge — buy a put option about 10% below current price expiring after earnings. Costs you a little, caps your downside if the DOJ delivers bad news. Or just keep position size disciplined so you don't need a hedge.